

**SUBSTITUTE FOR
SENATE BILL NO. 702**

A bill to limit interest and charges on medical debt; to limit actions taken to collect medical debt; to limit the sale of medical debt; to require information to be provided regarding medical debt; and to provide remedies.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 1. This act may be cited as the "medical debt protection
2 act".

3 Sec. 2. As used in this act:

4 (a) "Consumer reporting agency" means that term as defined in
5 15 USC 1681a.

6 (b) "Emergency medical condition" means, regardless of the
7 final diagnosis rendered, the condition of an emergency patient, as
8 that term is defined in section 20904 of the public health code,



1 1978 PA 368, MCL 333.20904.

2 (c) "Emergency services" means all of the following with
3 respect to an emergency medical condition:

4 (i) Both of the following:

5 (A) A medical screening examination as required under 42 USC
6 1395dd that is within the capability of the emergency department of
7 a hospital, including ancillary services routinely available to the
8 emergency department to evaluate the emergency medical condition.

9 (B) Further medical examination and treatment, to the extent
10 they are within the capabilities of the staff and facilities
11 available at the hospital, as are required under 42 USC
12 1395dd(e) (3) to stabilize the patient.

13 (ii) As it relates to any mental health service or substance
14 use disorder service, as those terms are used in the definition of
15 service in section 100d of the mental health code, 1974 PA 258, MCL
16 330.1100d, rendered at a behavioral health crisis service provider,
17 both of the following:

18 (A) A behavioral health assessment that is within the
19 capability of a behavioral health crisis service provider,
20 including ancillary services routinely available to evaluate the
21 emergency medical condition.

22 (B) Further examination and treatment, to the extent that they
23 are within the capabilities of the staff and facilities available
24 at the behavioral health crisis service provider, as are required
25 so that the patient's condition does not deteriorate.

26 (d) "Extraordinary collection action" means any action taken
27 to obtain payment of a medical debt to which any of the following
28 apply:

29 (i) The action involves reporting adverse information about an



1 individual to consumer reporting agencies.

2 (ii) The action involves deferring, denying, or requiring a
3 payment before providing emergency services or urgent services
4 because of an individual's nonpayment of medical debt.

5 (iii) The action requires a legal or judicial process,
6 including, but not limited to, any of the following:

7 (A) Placing a lien on an individual's property.

8 (B) Foreclosing on an individual's real property.

9 (C) Attaching or seizing an individual's bank account or any
10 other personal property.

11 (D) Commencing a civil action against an individual.

12 (E) Causing an individual's arrest.

13 (F) Garnishing an individual's wages.

14 (e) "Financial assistance policy" means a written policy made
15 under 26 CFR 1.501(r)-1 to 1.501(r)-7 or another written policy for
16 providing financial assistance to patients adopted by a large
17 healthcare facility or medical creditor voluntarily or otherwise as
18 required by applicable federal or state statute, regulation, or
19 rule.

20 (f) "Healthcare services" means services provided to prevent,
21 alleviate, cure, or heal human physical illness or injury or a
22 mental or behavioral condition or disorder.

23 (g) "Large healthcare facility" means a person that is either
24 of the following:

25 (i) A hospital as that term is defined in section 20106 of the
26 public health code, 1978 PA 368, MCL 333.20106.

27 (ii) A person that provides 1 or more healthcare services and
28 that has an annual revenue of not less than \$20,000,000.00.

29 (h) "Medical creditor" means the person that provided



1 healthcare services, products, or transportation that gave rise to
2 the medical debt and to which the medical debt is owed or, if the
3 medical debt has been sold, to which the medical debt was
4 previously owed.

5 (i) "Medical debt" means debt that arises from the receipt of
6 healthcare services or a healthcare product, including, but not
7 limited to, a device, piece of durable medical equipment, or
8 prescription drug, or from transportation to receive healthcare
9 services. Medical debt does not include debt charged to a credit
10 card, but does include an open-end or closed-end extension of
11 credit by a financial institution that may be used by the borrower
12 only to purchase healthcare services, products, or transportation
13 described in this subdivision.

14 (j) "Medical debt buyer" means a person that is engaged in the
15 business of purchasing medical debt or collecting medical debt on
16 behalf of another person, whether the medical debt buyer collects
17 the medical debt directly or hires an attorney or other person to
18 collect the medical debt.

19 (k) "Medical debt collector" means a person that regularly
20 collects or attempts to collect, directly or indirectly, medical
21 debts originally owed, due, or asserted to be owed or due to
22 another. Medical debt collector includes a medical debt buyer.

23 (l) "Patient" means the person that owes the medical debt,
24 including the individual who received the healthcare services and a
25 parent or guardian that is legally liable for the medical debt.

26 (m) "Urgent services" means healthcare services the delay of
27 which could seriously jeopardize an individual's life, health, or
28 ability to regain maximum function.

29 Sec. 3. (1) A large healthcare facility or medical debt buyer



1 shall not charge a patient interest or a late fee on medical debt
2 until 90 days after the due date applicable to the final invoice
3 for the medical debt.

4 (2) A large healthcare facility or medical debt buyer shall
5 not charge interest or late fees on medical debt that exceeds 3
6 percent of the amount of the medical debt per annum.

7 (3) A medical creditor or medical debt collector shall not use
8 any of the following extraordinary collection actions to collect a
9 medical debt:

10 (a) Causing an individual's arrest.

11 (b) Foreclosing on an individual's real property.

12 (c) Placing a lien on an individual's personal property.

13 (d) Garnishing the wages of an individual who qualifies for
14 financial assistance under the financial assistance policy
15 applicable to the underlying medical debt.

16 (4) A medical creditor shall not sell an individual's medical
17 debt to a medical debt buyer unless, before the sale, the medical
18 creditor has entered into a legally binding written agreement with
19 the medical debt buyer under which all of the following apply:

20 (a) The medical debt buyer is prohibited from engaging in any
21 extraordinary collection action described in subsection (3) to
22 obtain payment.

23 (b) The medical debt buyer is prohibited from charging
24 interest on the debt at a rate higher than 3 percent per annum.

25 (c) The debt is returnable to or recallable by the medical
26 creditor on a determination by the medical debt buyer that the
27 individual is eligible for financial assistance under the financial
28 assistance policy applicable to the underlying medical debt.

29 (d) The medical debt buyer is required to adhere to specified



1 procedures that ensure that the individual does not pay, and has no
2 obligation to pay, the medical debt buyer more than the individual
3 is responsible for paying in compliance with this act.

4 (5) A medical creditor that sells medical debt to a medical
5 debt buyer under an agreement described in subsection (4) is liable
6 for any actions taken by the medical debt buyer in relation to the
7 medical debt, subject to any indemnification provisions agreed to
8 by the creditor and the buyer.

9 (6) A medical creditor or medical debt collector shall not
10 take any extraordinary collection action until 120 days after the
11 due date applicable to the final invoice for a healthcare service.
12 Not later than 30 days before taking any extraordinary collection
13 action, a medical creditor or medical debt collector shall provide
14 the patient a notice that includes all of the following:

15 (a) If the medical debt resulted from healthcare services
16 provided by a large healthcare facility, a statement of whether
17 financial assistance is available for eligible individuals and a
18 plain-language summary of any financial assistance policy.

19 (b) A list of any extraordinary collection actions that will
20 be taken to obtain payment.

21 (c) A deadline after which the extraordinary collection
22 actions will be initiated, which must be 30 days or more after the
23 date the notice is provided.

24 (7) A large healthcare facility or medical debt collector
25 collecting medical debt for healthcare services provided by a large
26 healthcare facility shall not use any extraordinary collection
27 action unless the action is described in the large healthcare
28 facility's billing and collections policy.

29 (8) If a patient has paid any part of a medical debt in excess



1 of the amount owed after receiving any financial assistance offered
2 by a large healthcare facility, the large healthcare facility or
3 medical debt collector, as specified in the agreement required by
4 subsection (4), shall refund the excess amount to the patient not
5 later than 60 days after the excess payment is determined.

6 Sec. 4. A violation of this act is a prohibited practice under
7 and subject to the enforcement provisions of the Michigan consumer
8 protection act, 1976 PA 331, MCL 445.901 to 445.922.

9 Enacting section 1. This act does not take effect unless
10 Senate Bill No. 701 of the 103rd Legislature is enacted into law.

